Dartmouth Health

Southwestern Vermont Medical Center

The 340B program at Southwestern Vermont Medical Center: Fiscal Year 2025

ABOUT OUR HOSPITAL: Southwestern Vermont Medical Center (SVMC) is a 99 bed, not-for-profit rural integrated health care system serving more than 75,000 people in the towns and village of Bennington County, western Windham County and southern Rutland County in Vermont; eastern Rensselaer County in New York, and northern Berkshire County in Massachusetts since 1918. SVMC and its array of outpatient clinics and services in Vermont and neighboring states serve a diverse population with unique healthcare needs. In fiscal year 2025 SVMC provided more than 49,980 primary care and pediatric appointments, over 3,100 inpatient discharges, nearly 5,900 surgeries and procedures, and about 46,000 emergency department and Walk-in visits. The Emergency Department at SVMC is staffed 24/7 in order to provide care for critically ill patients. In addition to inpatient and primary care, SVMC provides a variety of specialty care services including, cardiology, neurology, dermatology, outpatient infusion services, podiatry, infectious disease and travel services, rheumatology, and surgical services. SVMC is a proud member of the Dartmouth Health system.

As one of the largest employers in the area, SVMC employs over 1250 clinical and administrative staff members.

In its fiscal year 2024 IRS 990 filing, SVMC invested $34.6M in community benefits across a wide array of services, programs and initiatives. SVMC provided $1.2M in charity care and $27.1M in unreimbursed Medicaid and other means-tested government programs. SVMC provided $4.7M in subsidized healthcare and $350K in provider recruitment to address issues with healthcare access.

SVMC also invested $1.3M in community health, education, and subsidized services.

THE BENEFITS OF THE 340B PROGRAM: The 340B program offsets a significant amount of operating expense and loss, and enables SVMC to provide several much-needed services to patients and the community, all with a goal of increasing access to healthcare. SVMC spends approximately $24.6M annually on medications for our patients. The approximate value of SVMC's 340B benefit in FY25 was $12.4M, which was used in numerous ways to support patients and their families, as guided by the Community Health Improvement Plan.

Savings from the 340B drug pricing program have enabled Southwestern Vermont Medical Center to meet patient needs through workforce development programs and specialty and primary care services:

- **Transitional Care Nursing Program**. Through its transitional care nursing program, SVMC has kept more patients from returning to the hospital by having nurses travel to the patient homes to prove support services and ensure they are safety set up to recover.

- **Oncology**. Many oncology patient face hardships traveling far distances to access critical oncology services. Because of the savings generated by the 340B program, SVMC was able to open a community cancer center, accredited by the American Cancer Society, and several community based clinics that provide access to cancer care closer to patients' home and at often a reduced cost.

- **Expanded Primary Care**. SVMC prioritized the expansion of primary care services to the communities it serves. 340B savings have allowed the hospital to open primary care clinics in communities that are underserved and at particularly high-risk for chronic diseases. These clinics have resulted in more patients getting access to care in their local communities rather than coming to the emergency room or requiring inpatient care for their health needs.

- **Improving the Staffing Pipeline**. SVMC has faced critical workforce shortages that have jeopardized its ability to meet patient demand. To address this problem, the hospital has used 340B saving to pilot several innovative programs. As a result, SVMC has reinvested in its workforce and largely avoided the use of increasingly expensive staffing agencies to fill nursing workforce gaps.

IMPACT IF THE 340B PROGRAM WAS SCALED BACK: It should go without saying that the loss of benefits from the 340B program would have significant impact on our patients and our community. Rural hospitals like SVMC are a crucial part of the state of Vermont's healthcare delivery system with more than half of the state's hospitals being critical access hospitals. Our hospital provides essential services to patients who would otherwise not have access. The benefits from the 340B program at SVMC are used as intended in the Public Health Service Act- to stretch scarce resources as far as possible in order to reach more patients and provide more comprehensive services. In addition to providing medication cost savings, if the 340B program were scaled back or eliminated, many of the examples of patient and community support listed above would be negatively impacted.

It is imperative that the 340B program remain in place – as currently structured – for the health and benefit of the patients who need us most.

Description of Southwestern Vermont Medical Center (SVMC) (RRC470012) Internal Review and Oversight

To Whom It May Concern,

Southwestern Vermont Medical Center (SVMC) (RRC470012) takes its commitment to the 340B Drug Pricing Program very seriously. SVMC maintains a comprehensive suite of 340B-related policies, procedures, and job aids designed to ensure ongoing compliance and program integrity in accordance with the U.S. Department of Health and Human Services, Health Resources and Services Administration (HRSA) 340B Program requirements and guidance.

These policies support compliance, monitoring, and operational oversight across all major program requirements and include robust controls aimed at preventing diversion and duplicate discounts, the two primary cornerstones of 340B compliance.

SVMC maintains compliance with the 340B Program by conducting monthly claim audits in accordance with HRSA audit guidance. These audits include Contract Pharmacy claim audits as well as Mixed-Use administration and dispensation claim audits and are performed on a monthly basis in volumes established by organizational policy. Any identified issues are reviewed by the 340B Center of Excellence (CoE) on a monthly or bi-monthly basis, depending on the pharmacy partner, and corrective actions (claim reversals and process improvements) are implemented promptly when claims are determined to be ineligible.

In addition, the SVMC 340B CoE team meets with applicable SVMC stakeholders on a monthly basis to review program performance and compliance, as defined by policy. Furthermore, all Dartmouth Health 340B programs, including SVMC, are reviewed quarterly through the Dartmouth Health 340B Steering Committee. This governance structure ensures that relevant Dartmouth Health C-suite representatives remain informed and engaged regarding 340B oversight and compliance matters.

A key component of SVMC's 340B compliance framework is the completion of an annual, contracted external audit of the SVMC 340B Program conducted by our vendor partner, SpendMend. These external audits are structured to mirror the scope and rigor of an HRSA audit and evaluate all required aspects of program compliance and maintenance. Any identified findings or concerns are documented in the final audit report and addressed by SVMC in a timely and compliant manner.

Kind regards,

SVMC Leadership and the 340B Centers of Excellence Team